



GS-IMM consortium's investment in Hugel

Oct 10, 2024



FCRC Fall 2024, Team Atlantis
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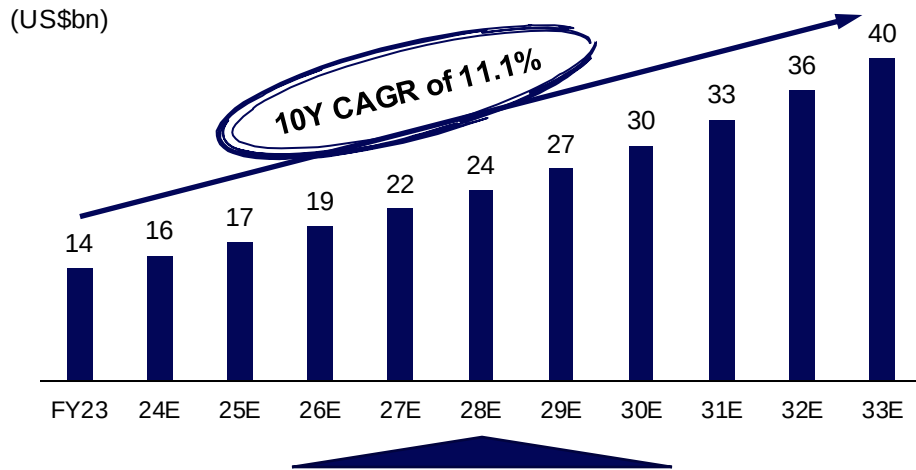
I. Industry Overview

1. Industry Overview
2. Competitive Landscape

Industry Overview

Global facial injectable market is expected to maintain solid growth, with a projected CAGR of 11.1% from 2023 to 2033

Global facial injectable market



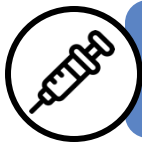
Key driver of market growth



The rising demand for minimally invasive procedures is fueled by shorter recovery times and a growing preference for treatments that offer natural-looking results



Aging global population is contributing to anti-aging market growth, as older individuals seek to reduce the signs of aging



Advances in injectable formulations and techniques have also improved the safety and efficacy of these treatments, further boosting their adoption

Specific market trend

Toxin market

Stable growth

- Global toxin market is showing stable growth, with CAGR of 10.0%
- Demand of aesthetic toxin also expanded to millennial generation, also increase long-term growth of toxin market

Abbvie is losing market share

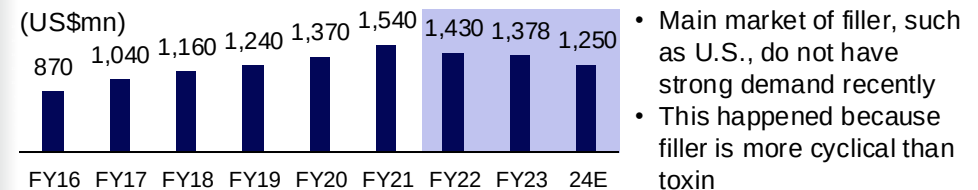
- Though competition in toxin market is getting harder, Abbvie, the market leader, sustain their price policy and secure premium status in the market

Product diversification

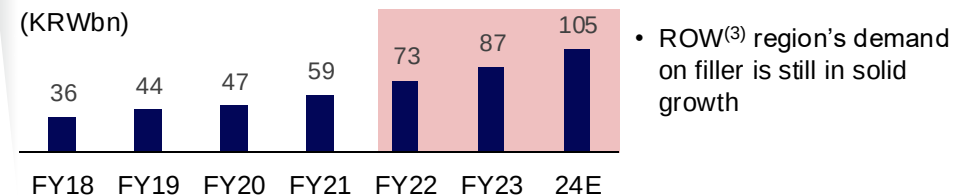
- Toxin products are differentiated by factors such as duration, onset time, and pharmaceutical formulation, aiming to create a distinct specialization compared to Abbvie's Botox

Filler market

Main market recession⁽¹⁾



Increasing demand in other markets⁽²⁾



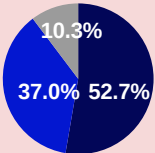
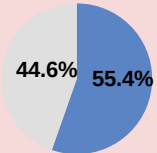
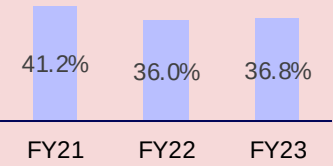
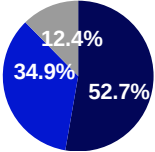
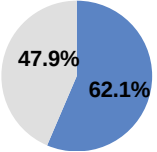
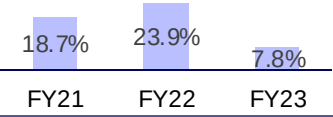
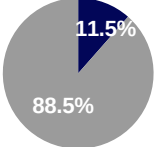
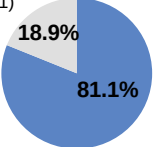
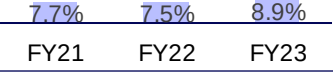
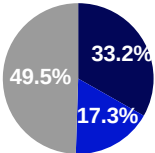
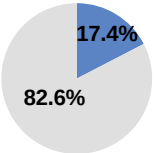
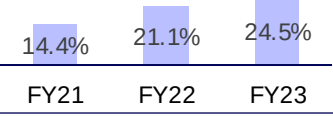
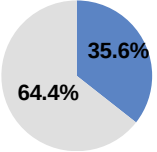
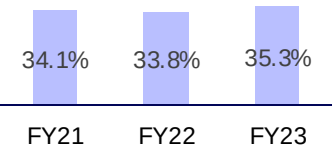
Source: Market.Intelligence, Newsrun

Notes: (1) Global revenue trend of "Juvederm", the filler product of Abbvie (2) Export trend of "The Chaeum", the filler product of Hugel

(3) Rest of world (e.g. Southern-east Asia, Latin America, etc.)

Competitive Landscape

Hugel is a key player in the domestic medical aesthetic market, achieving strong profit margin through operational efficiency and effective cost management

Company	Revenue breakdown(FY23)	Overseas	3Y EBIT margin	Notes
	 - Toxin - Filler - Others	 - Overseas - Domestic		- No.1 M/S in the domestic botulinum toxin and filler markets - Recently received FDA approval for its botulinum toxin product
	 - Toxin - Filler - Others	 - Overseas - Domestic		The former market leader and a major competitor of the target company
	 - Toxin - Filler - Others	 - Overseas - Domestic		The first domestic company that obtain FDA approval for botulinum toxin
	 - Toxin - Filler - Others	 - Overseas - Domestic		- Aesthetic company under Huons Group - Currently experiencing growth driven by strong performance in filler exports
	N/A ⁽²⁾	 - Overseas - Domestic		Occupying a pioneering position in the skin booster sector, with the brand "Rejuran" leading the way

Source: DART, IR of each company, Newsrun

Notes: (1) Regional sales breakdown exclusively for 'Nabota,' Daewoong Pharmaceutical's botulinum toxin product

(2) PharmaResearch categorizes toxins and fillers under the same business segment, making an exact breakdown impossible

II. Company Overview

1. Company Snapshot
2. Product Overview
3. Deal Overview

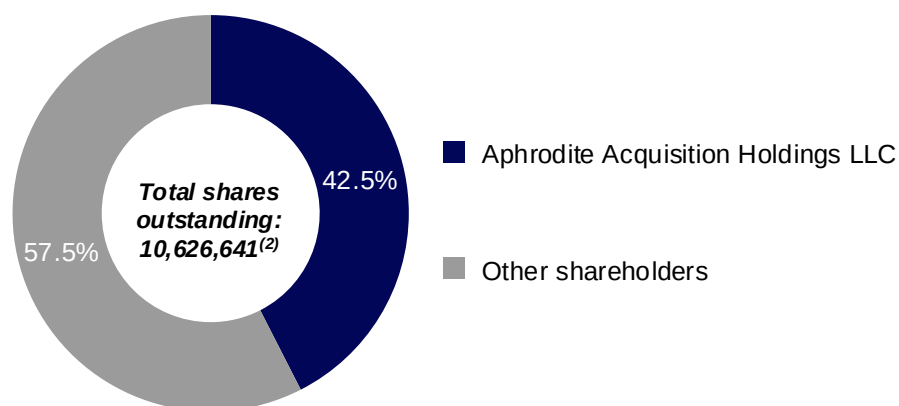
Company Snapshot

Hugel is a leading domestic medical aesthetics company, excelling in both the botulinum toxin and filler markets, and has secured a top position in both sectors

Company profile

- Founded in 2001, Hugel began its operations in biomedical beauty products and was listed on KOSDAQ in 2015
- The company has specialized expertise in pharmaceutical aesthetic products, including biopharmaceuticals utilizing botulinum toxin and filler products made with hyaluronic acid
- Recently, Hugel expand its business into the skin-booster market, which has high growth potential, estimated to achieve a CAGR of 9.6% from 2023 to 2030
- Hugel has received approval in 63 countries, including the USA, Australia, and Canada, making it the first and only company to have “Letybo” approved simultaneously in the USA, Europe and China, following FDA approval in the USA on Feb 29

Shareholding structure⁽¹⁾



Key financials

(KRWbn)	FY20	FY21	FY22	FY23	LTM1H24
Revenue	211	232	282	320	343
Growth (%)	3.2%	9.0%	17.7%	11.9%	6.9%
Gross Profit	149	177	219	246	262
Margin (%)	70.5%	76.4%	77.7%	77.0%	76.2%
EBITDA	89	110	296	132	159
Margin (%)	42.1%	47.4%	41.0%	41.2%	46.4%
EBIT	78	96	101	118	138
Margin (%)	37.0%	41.2%	36.0%	36.8%	40.1%
Net Income	45	60	61	98	119
Margin (%)	21.5%	26.0%	21.5%	30.5%	34.6%
Total Assets	956	1,010	1,050	929	899
Total Liabilities	162	181	200	150	86
Net Debt	(506)	(438)	(423)	(386)	(368)

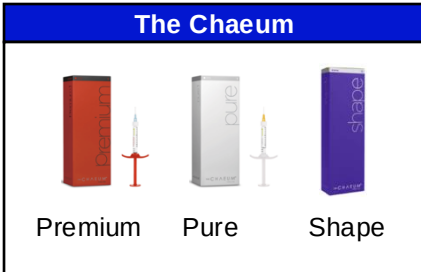
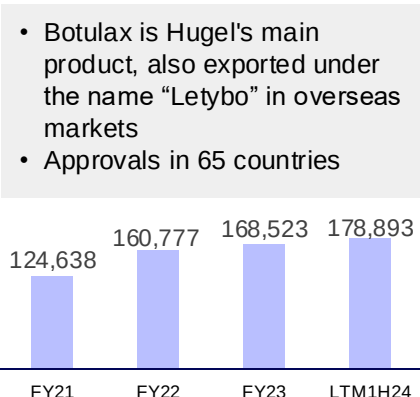
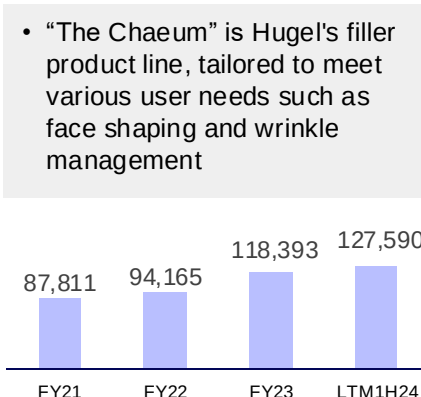
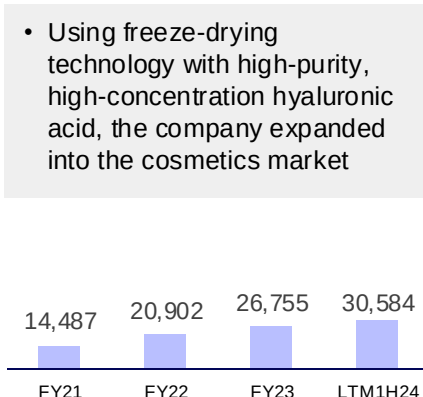
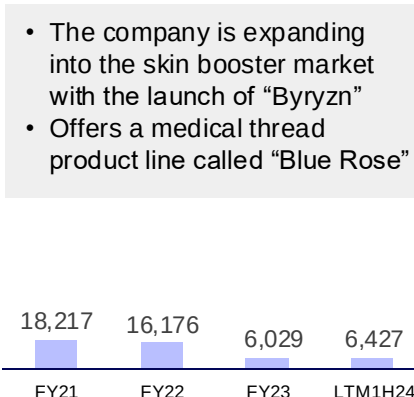
Stock price evolution⁽²⁾



Product Overview

Hugel's business is primarily focused on the botulinum toxin and filler segments, but they continue to diversify their portfolio into other aesthetic markets, such as cosmetics and skin boosters

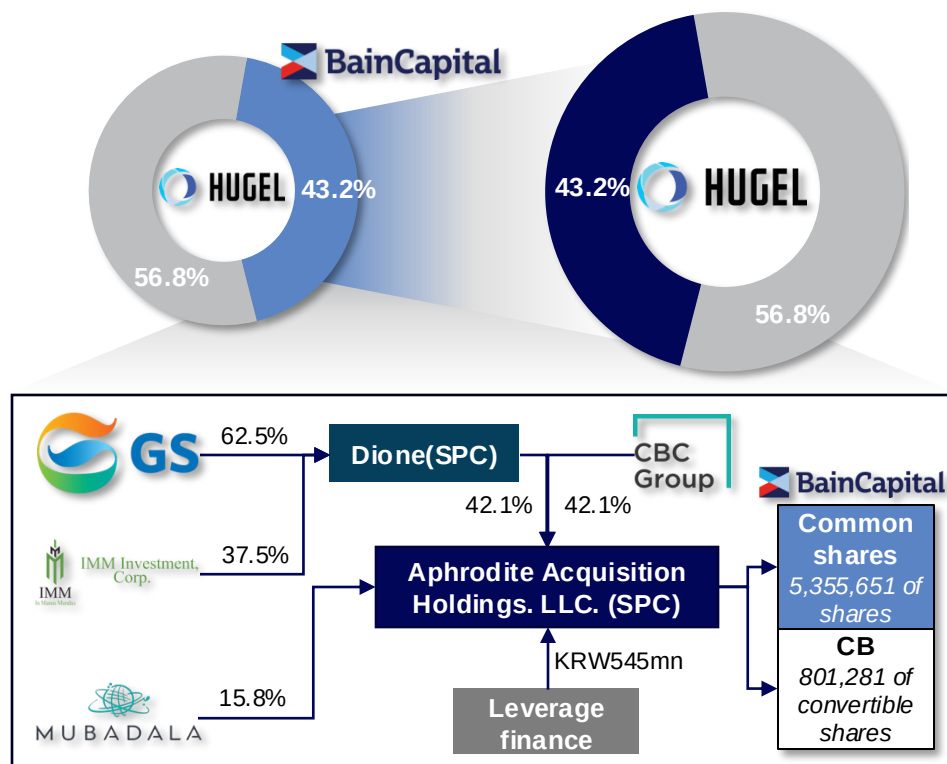
Business segments

Segment	Toxin 	Filler 	Cosmetics 	Medical device & etc 																																								
Main products	Botulax  50unit / Vial 100unit / Vial 200unit / Vial	The Chaeum  Premium Pure Shape	Wellage 	Blue rose/Byryzn 																																								
Description	- Botulax is Hugel's main product, also exported under the name “Letybo” in overseas markets - Approvals in 65 countries	“The Chaeum” is Hugel's filler product line, tailored to meet various user needs such as face shaping and wrinkle management	Using freeze-drying technology with high-purity, high-concentration hyaluronic acid, the company expanded into the cosmetics market	- The company is expanding into the skin booster market with the launch of “Byryzn” - Offers a medical thread product line called “Blue Rose”																																								
Revenue trend (KRWbn)	<table><tr><th></th><th>FY21</th><th>FY22</th><th>FY23</th><th>LTM1H24</th></tr><tr><td>Revenue</td><td>124,638</td><td>160,777</td><td>168,523</td><td>178,893</td></tr></table>		FY21	FY22	FY23	LTM1H24	Revenue	124,638	160,777	168,523	178,893	<table><tr><th></th><th>FY21</th><th>FY22</th><th>FY23</th><th>LTM1H24</th></tr><tr><td>Revenue</td><td>87,811</td><td>94,165</td><td>118,393</td><td>127,590</td></tr></table>		FY21	FY22	FY23	LTM1H24	Revenue	87,811	94,165	118,393	127,590	<table><tr><th></th><th>FY21</th><th>FY22</th><th>FY23</th><th>LTM1H24</th></tr><tr><td>Revenue</td><td>14,487</td><td>20,902</td><td>26,755</td><td>30,584</td></tr></table>		FY21	FY22	FY23	LTM1H24	Revenue	14,487	20,902	26,755	30,584	<table><tr><th></th><th>FY21</th><th>FY22</th><th>FY23</th><th>LTM1H24</th></tr><tr><td>Revenue</td><td>18,217</td><td>16,176</td><td>6,029</td><td>6,427</td></tr></table>		FY21	FY22	FY23	LTM1H24	Revenue	18,217	16,176	6,029	6,427
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Deal Overview

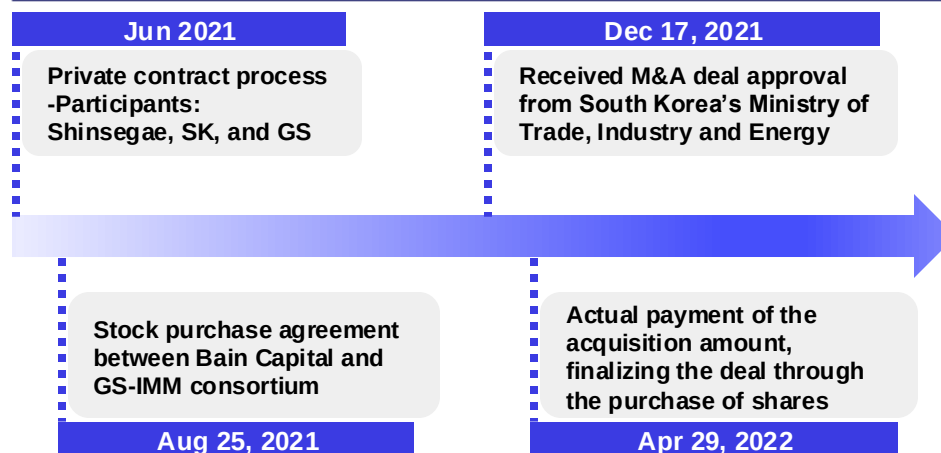
The GS-IMM consortium, in partnership with CBC Group and Mubadala, structured a deal to acquire 43.2% of Hugel's total shares, with a transaction value of KRW1,724bn, at an EV/EBITDA multiple of 34.4x

Deal structure

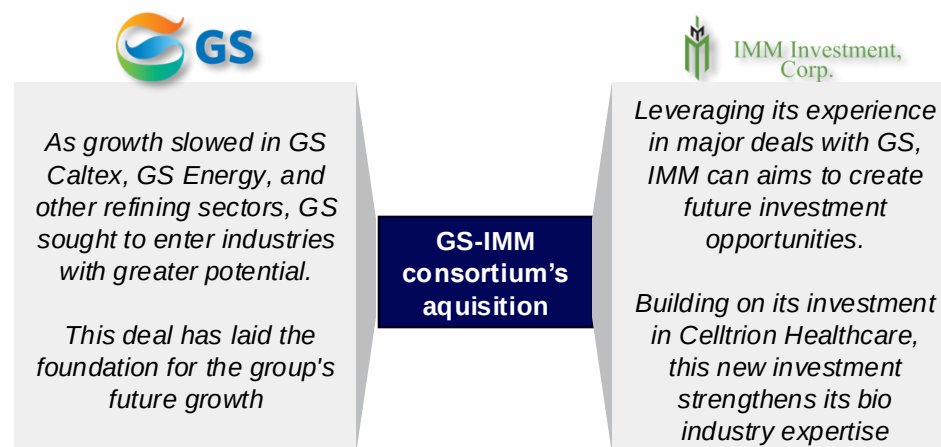


Transaction value	KRW1,724bn
Implied equity value	KRW4,032bn
Implied enterprise value	KRW3,650bn
Implied EV/EBITDA	34.4x

Deal timeline



Buy-side rationale



III. Investment Highlight

1. The Domestic Beauty Market Recognized for its Strength
2. Strong Competitiveness in Botulinum Toxin Market
3. Strategic Expansion into the U.S. Toxin Market

1 Attractive Domestic Beauty Market

The domestic beauty market is highly regarded for its advanced technology and competitiveness, which in turn is leading to increased demand

Domestic beauty market competitiveness

Beauty market offering high quality at reasonable prices

Domestic demand

Active beauty platform services



Information accessibility

- Activated beauty platform services can reduce issues stemming from a lack of information about hospitals and doctors

Transitioning from potential demand to actual consumption

- By using beauty platforms, customers can simplify the purchasing process, accelerating the conversion of potential demand into actual participation



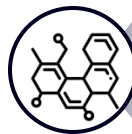
Domestic supplier

High-quality service supported by advanced beauty infrastructure



Human resource

- The high-quality of human resources in the domestic beauty industry provide a satisfying user experience for customers



R&D capabilities

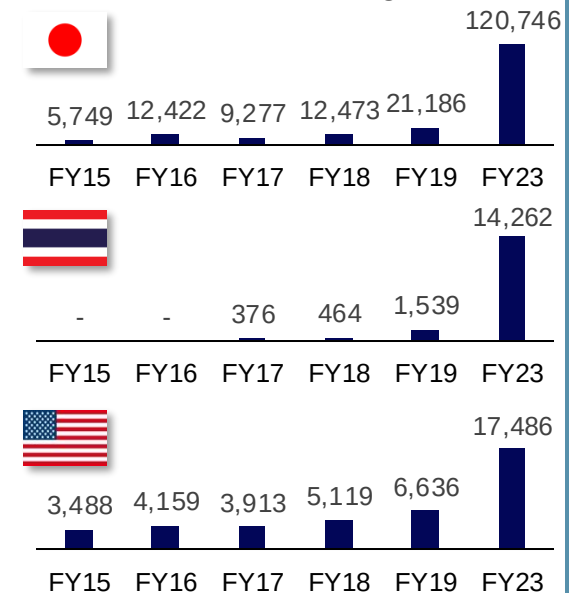
- Advanced R&D capabilities allows domestic market for continuous evolution and development

Both aspects of demand and supply enhance the competence of the domestic beauty market compared to other countries

Future growth driver

Overseas demand

Trends in the number of dermatology treatments for foreigners



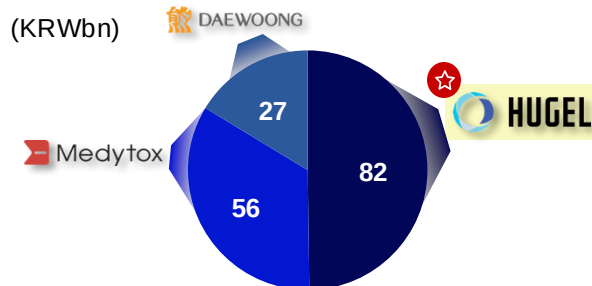
Demand from overseas continues to grow and now become one of the **key growth drivers** in the domestic beauty market

Strong Competitiveness in Botulinum Toxin Market

Hugel has demonstrated strong competence in the botulinum toxin market, securing a market leader position despite a competitive environment, and is now expanding its regional operations by leveraging its strengths

Domestic market leader

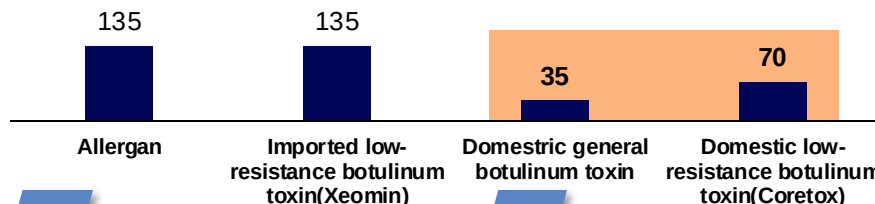
<Revenue of domestic top 3 player(FY23)>



Even in the **great competition** in domestic botulinum toxin market, Hugel is keeping its status of **market leader** with its operating competence

Competitive domestic market

(KRWk) <Procedure cost by toxin product>



1

Excellent quality

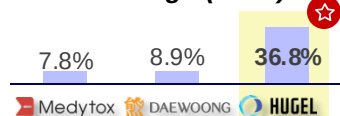


Hugel demonstrated its **stability and quality** by obtaining approvals from regulatory institutions in the USA, EU, and China, becoming **the first domestic aesthetic toxin company** to achieve this milestone

2

Cost management

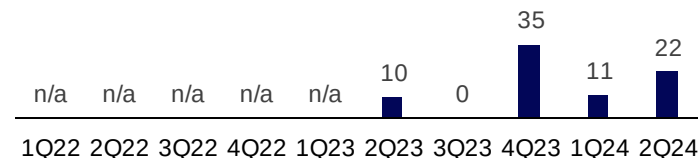
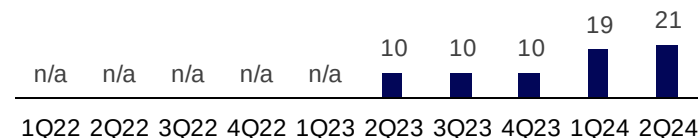
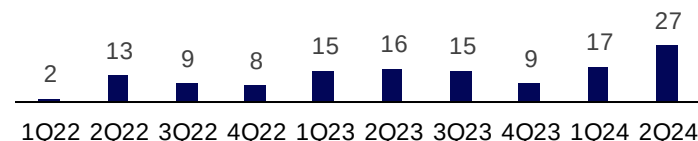
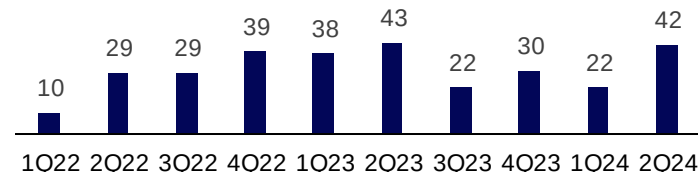
<EBIT margin(FY23)>



Hugel has proven its ability to **manage operating costs**, resulting in **excellent profit margins**

Quarterly export data of Hugel (1Q22-2Q24)

(US\$100k)



Hugel's strengths are being proven as it responds to **increasing global demand**. Based on its **price competitiveness**, exports to Asia, including Thailand and Japan, have reached record highs, and data from countries like Germany and Australia also show rising demand for Hugel's "Letybo"

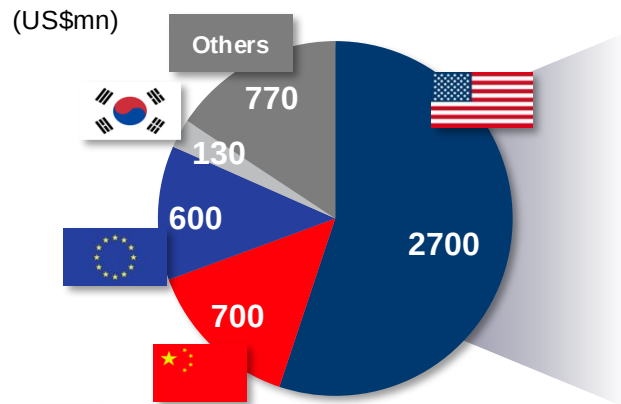
3 Strategic Expansion into the U.S. Toxin Market

Hugel is expected to show stable growth based on its business expansion to United States by achieving FDA approval

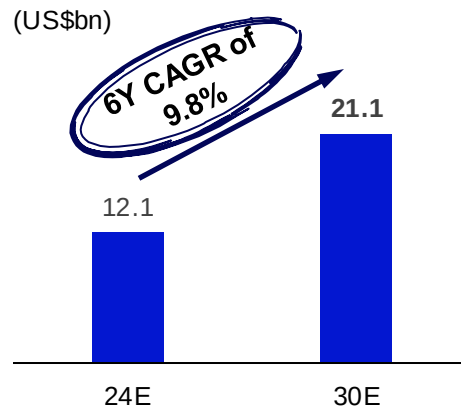
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Size and growth of USA toxin market

<Size of US aesthetic toxin market(FY23)>



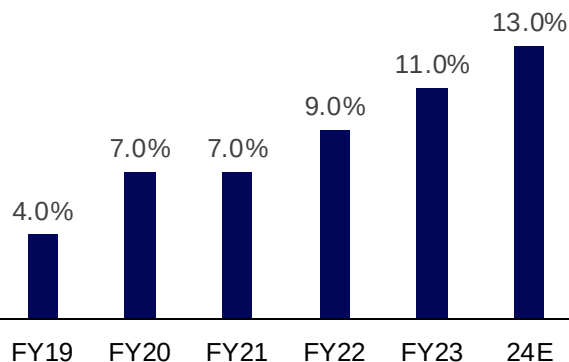
<US total toxin market growth>



2

Similar US expansion case of Daewoong

Daewoong's U.S. toxin M/S



Explanation

Daewoong Pharmaceutical received FDA approval for its toxin product, "Nabota," (export name "Jeuveau") in 2018 and expanded into the U.S. market

Implication

Jeuveau has positioned itself similarly to Hugel's product, offering low prices and stable quality

3

USA expansion timeline

Feb 29, 2024

FDA approval

- Received approval from the U.S. FDA for its botulinum toxin product, "Letybo"

Jul 1, 2024

Partnership with BENEV

- Selected BENEV as its local partner in the U.S. for the export of its products
- Rather than granting full rights for sales, the companies will enter the market as partners

Jul 30, 2024

Initial shipment

- The initial shipment of Letybo was conducted

~2027

Objective market share

- Hugel set 10.0% of US market share as their 3-years goal



Finance Case Research Club
Team Atlantis